IAG – RAC Insurance

MN – 65005

Phase 2 Determination

Acquisition must not be put into effect

22 September 2026

1. Determination

1.1. On 3 March 2026, Insurance Australia Group Limited (**IAG**) lodged a notification in respect of IAG's proposal to acquire 100% of the issued share capital in RAC Insurance (**RACI**) from RACI Pty Ltd, a wholly owned subsidiary of the Royal Automobile Club of Western Australia Inc (**RAC**) (the **Acquisition**) with the Australian Competition and Consumer Commission (**ACCC**).

1.2. When an acquisition is notified in accordance with the *Competition and Consumer Act 2010* (Cth) (the **Act**), the ACCC may determine that a notified acquisition may be put into effect or must not be put into effect. A determination that an acquisition may be put into effect may include conditions. The ACCC must not determine that an acquisition must not be put into effect unless certain statutory requirements are met, including that the ACCC is satisfied that the acquisition, if put into effect, would, in all the circumstances, have the effect, or be likely to have the effect, of substantially lessening competition in any market.[1]

1.3. On 16 April 2026, the ACCC decided the Acquisition would be subject to a Phase 2 review and subsequently released a Notice of Competition Concerns on 25 May 2026 in accordance with section 51ABZK of the Act.

1.4. The ACCC has determined under section 51ABZE(1) of the Act that the Acquisition must not be put into effect. The ACCC is satisfied that the Acquisition, if put into effect, would in all the circumstances, have the effect, or be likely to have the effect, of substantially lessening competition in a market.

Applications for review

1.5. The notifying party, or other person who has been allowed to do so by the Australian Competition Tribunal, may apply for review if they are dissatisfied with the determination. Pursuant to section 100C of the Act, applications for review of the determination are to be made to the Australian Competition Tribunal before the end of 14 calendar days after this Statement of Reasons was included on the ACCC's acquisitions register. To confirm whether there has been any application for review, please contact the Australian Competition Tribunal.

Public benefit application

1.6. The notifying party may also apply to the ACCC for a determination that the acquisition would be of public benefit. Pursuant to section 51ABZP(2) of the Act, this application must be made no later than 21 calendar days after the ACCC made this Phase 2 determination.

Determination made by a division of the Commission constituted by a direction issued pursuant to section 19 of the Act

[1] Section 51ABZE(2)(c) of the Act.